Ch. 6 Government on Exchange Rates

Exchange Rate Systems
- Floating and Managed Float.
- Pegged
- Fixed

Fixed Exchange
-> mid-XX century countries had fixed currencies that would not float

Advantages - MNC's did not exchange rate risk
- currencies did not fluctuate so MNC's did not need to hedge value of their remittances

Disadvantages - if government could not manage the fixed rate, it would need to **devalue** (depreciate) or **revalue** (appreciate) the currency

- if uneven flow of fund because of better market conditions (e.g. higher interest rates), high burden for central
- "export" inflation
- "export" unemployed

Floating Exchange rate system

- prevailing system
- currencies are allowed to change value due to market forces; central bank does not intervene
- no "exporting" inflation or unemployment

Managed Float - central bank interves to some extent to keep currency float (volatility) within a certain range

Pegged Exchange Rate system - weak or unstable currencies are pegged (fixed) to the value of other currency
- central bank of given country intervenes

daily to keep local currency matched to peg

Dollarization- country forgoes their local currency and uses foreign currency.

How does government intervene in Foreign Exchange Market

I direct Intervention

central bank intervening in factors that affect exchange rates

review FX : f(ΔINFL, ΔEXP, ΔINC, ΔGOV, ΔINT)

Central bank affects interest rates by adjusting money supply in the market

-> increase interest rates -> decrease money supply

-> sell Treasury securities to reserve banks (Chase, Citi)

-> Federal Reserve will hold that cash in their reserve, out of money supply

-> decrease interest -> increase money supply

-> buy Treasury securities from reserve banks, keep Treasuries

in their reserves & put money in circulation

Direct Intervention

Central banks hold foreign currencies in their reserve. When they want to adjust value of their currency, they sell foreign currency in reserves or use their local currency to buy more FX into the reserves